

NVIDIA Corporation

NVDA NASDAQ

Buy	\$231.12 ▲ 1.17%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.58T
-----	------------------	------------------------------	--------------------------------------	-----------------------

NVDA: Near All-Time Highs, Hugging Face Deal Doubles Down on AI

WHAT HAPPENED

- NVDA ripped another 1.2% to \$231, now sitting at 93% of its 52-week range — the market is cheering the \$12.9B Hugging Face acquisition, which is a huge signal. Hugging Face is basically the "GitHub for AI models" — Jensen is essentially buying the developer community and open-source AI platform layer, not just selling picks and shovels anymore. This is NVDA trying to lock in the software moat on top of their chip dominance.
- BUT — heads up — there's a director (Mark Stevens) who dumped \$268M worth of stock on Sept 2, and the options market is flashing warning signs with massive put buying at the \$230-232.50 strikes expiring this month (some 32x normal open interest). That's someone with size hedging or betting on a near-term pullback.

WHY IT MATTERS

The Hugging Face deal is bigger than it looks — NVDA is moving from "we sell you the GPUs" to "we own the entire AI stack from silicon to model deployment." That makes their moat wider and stickier, which justifies a premium multiple. BUT the combination of insider selling (\$268M dumped by a director) plus the loud unusual put activity at nearly the current strike price tells me smart money is either taking profits at highs or hedging into September options expiration — expect a pullback to \$215-220 as a real possibility in the next 2-3 weeks. Bigger picture: with the stock at 93% of its 52-week range and the AI narrative fully priced in, you need NEW catalysts (earnings beat, China deal, government contract) to break out — otherwise this consolidates.

POLICY & POLITICAL WATCH

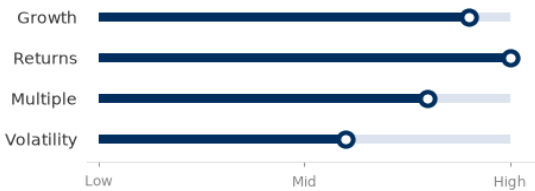
Two big things to watch: (1) China export controls — the Trump admin has been negotiating a framework where NVDA can sell downgraded H20 chips to China in exchange for a 15% revenue share to the US government. If that formalizes into an executive order, it unlocks billions in revenue that's currently blocked; if it breaks down, NVDA loses a huge market. (2) The federal AI infrastructure buildout tied to the Stargate initiative and DoD AI spending continues to accelerate — every federal AI dollar essentially flows through NVDA's ecosystem, so watch the FY2027 defense authorization for AI-specific line items. Regulatory environment: friendlier under current admin than most tech names, since AI dominance is being treated as a national security priority.

IS IT EXPENSIVE?

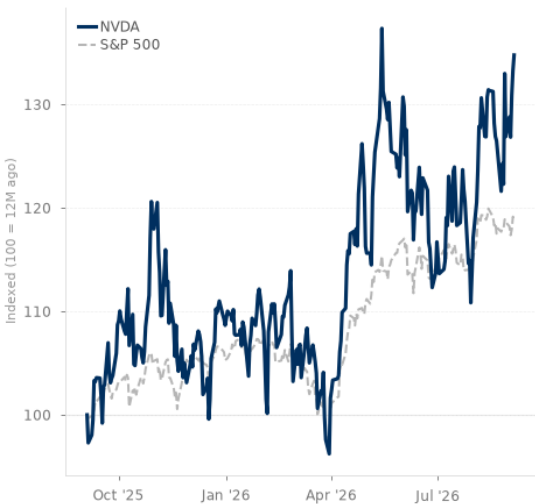
Key Data

Price (USD)	\$231.12
12M Price Target	\$260.00
Upside / (Downside)	+12.5%
Market Cap	\$5.58T
FY2027E Revenue	\$215M
FY2028E Revenue	\$285M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.80
Fwd P/E	39.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$235.00	\$215.00
6 Months	\$275.00	\$250.00	\$195.00
1 Year	\$310.00	\$260.00	\$180.00
2 Years	\$375.00	\$300.00	\$170.00
5 Years	\$500.00	\$380.00	\$150.00
10 Years	\$800.00	\$550.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.62% today, +0.78% for the week) is quietly leading again — AI and semis specifically, driven by continued hyperscaler spending and now M&A activity (NVDA/Hugging Face). Utilities (+0.98% weekly) is also heating up because AI data centers need MASSIVE power — that's a real thematic tailwind.

COOLING OFF: Industrials and Materials both down 1%+ on the week — tariff uncertainty and rising bond yields are pressuring anything cyclical. Consumer Staples weak because rates are up (defensive dividend plays get less attractive when bonds pay more).

ROTATION WATCH: Money is rotating INTO AI/tech and power-adjacent utilities, OUT of rate-sensitive stuff (homebuilders, REITs, autos) as bond yields spike. Bond yields going up means anything financed with debt gets more expensive — bad for cyclicals, neutral-to-good for cash-rich AI leaders like NVDA.

RELATED PLAY: If NVDA's ecosystem keeps expanding, the data center power/cooling names (Vertiv, Eaton, GE Vernova) and nuclear/utility names (Constellation, Vistra) benefit — they're the "picks and shovels" for the AI infrastructure buildout.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Riding custom AI chip deals with hyperscalers — the "if not NVDA, then Broadcom" trade.
- ORCL (Oracle): Cloud infrastructure business is booming from AI compute demand, becoming a legit hyperscaler #4.

NVDA CONTEXT: NVDA is leading its peer group but not by a wide margin anymore — the whole AI complex is running, which is actually healthy (broadening rally, not just one name). If NVDA STARTS to lag while AVGO/ORCL run, that's your signal that custom silicon is eating NVDA's lunch and you should trim.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-7% of portfolio

Entry Points: \$215-225 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: China export ban escalation, hyperscaler capex cut >15%, or major AI demand rollover

Hedging: Buy Oct/Nov \$220 puts or pair with short SMH (semi ETF) to isolate NVDA-specific alpha